

What fiscal can learn from monetary

#australia

#luciellis

#interestrates

#fiscalpolicy



By Luci Ellis

Chief Economist Westpac Group, Westpac

13:40 May 22 2026

 Share

Perennial proposals on tax reform mostly take a micro view, but with careful design, the fiscal system can be a macro management tool.



- Much post-Budget focus is on who wins, who loses, and the micro-level incentives they face. Macroeconomic perspectives are mostly downplayed, partly out of a belief that fiscal policy is not suited for management of the business cycle.

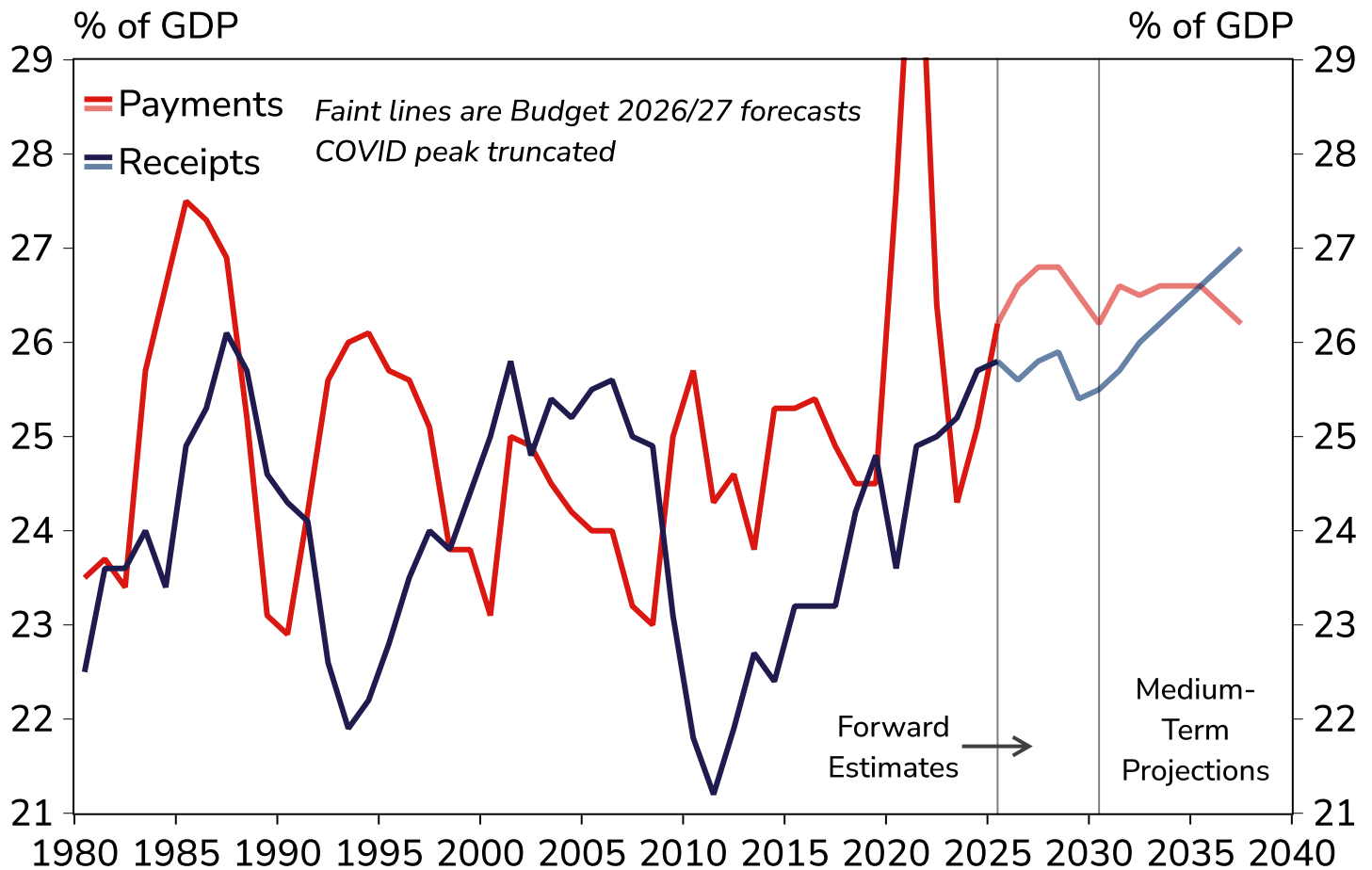
- Even taking the allocation of responsibilities – monetary policy for the business cycle and fiscal policy for microeconomic incentives – as given, fiscal policy can learn from monetary policy.
- One example is the way institutional arrangements were designed to reduce the ‘time-inconsistency problem’ in monetary policy, the temptation to boost demand and inflation to lower unemployment. A similar problem applies to fiscal policy. Projections of future outcomes assume that bracket creep will boost tax revenue to a degree that no government will actually go through with when the time comes.
- Indexation of tax brackets can be viewed as a kind of commitment device to reduce this inconsistency. Care must be taken, however, to ensure that the countercyclical features of a progressive tax system are not lost. This points to another lesson from monetary policy: there are benefits to some degree of automation.

This year’s budget, with its focus on intergenerational distribution, will have significant effects on property and other asset markets, as well as on how many families manage their affairs. Even once they move beyond a pure winners-versus-losers framing, though, proponents of the changes and detractors alike are mostly thinking about fiscal policy like microeconomists. The emphasis is on efficiency and incentives across different activities and asset classes. Only rarely are macroeconomic perspectives, like the role of the fiscal system in managing the economic cycle, the focus.

The micro perspective stems from a deep-seated belief that fiscal policy cannot be used effectively to manage the macroeconomic cycle. Even though payments and other fiscal actions can affect demand immediately, the decision-making process is too slow, and prone to being politicised. And with many moving parts, a budget can be directed to other objectives. Best leave the macro side to monetary policy, goes the thinking. It has much faster decision-making cycles, and you can dedicate one instrument to one job.

Even if you take this allocation of responsibilities as given, though, there is plenty that fiscal policy can learn from monetary policy. One example is evident in the medium-term projections beyond the four-year ‘forward estimates’ horizon of the budget. These projections show a comforting upward trend in tax revenue as a share of GDP that closes the current deficit out in the 2030s. This is because the projections take current policy as given – including the tax brackets, which are fixed in dollar terms. There are some revenue measures as well, including the tax changes announced in last week’s federal budget, but it is mostly bracket creep.

Federal Budget: Payments & Receipts



The reality is that, by the time we get to the 2030s, future governments will have given some of that bracket creep back. They always do. The alternative is an ever-rising share of household income going to tax. This inconsistency between forecasts based on known policy and the outcomes that are likely to actually occur once we get there is analogous to the 'time-inconsistency problem' that is well known to analysts of monetary policy.

The 'inconsistency' is that monetary policymakers will always be tempted to 'cheat' on an inflation target, choosing a bit more inflation in the near term to get a bit less unemployment. Without some suitable institutional constraints, a central bank therefore cannot credibly commit to keep future inflation at the desired rate. Resolving this inconsistency is one of the reasons why independence of the central bank is seen as so important.

So too with fiscal policy. A government can project to close a fiscal deficit using the increasing revenue from bracket creep. But when the day comes, the temptation to moderate an ever-increasing tax burden is too great. Just as central banks cannot credibly pre-commit to hit inflation targets without independence, accountability or some contractual arrangement, governments cannot credibly commit to improving their finances via future bracket creep. (To be clear, budget deficits of the order of 1% of GDP are not a big deal in the scheme of things, especially compared with most other major economies.

But if your ostensible aim is to eliminate that deficit eventually, projections that assume full bracket creep are not credible indications that you will get there.)

Proposals to index tax brackets in some way can be seen in this context as a kind of pre-commitment device, much like independence and inflation targets are for monetary policy. Instead of giving periodic tax cuts but pretending you will not, bracket indexation legislates the unwind of bracket creep in a more mechanical way. It also avoids the risk that the usual decision and implementation lags end up seeing ad-hoc bracket adjustments arrive when the economy is hot and tax cuts are least needed.

Of course, medium-term projections formulated on this basis will look more alarming than the recent run of budget papers. The gap is more appearance than substance, however. Perhaps, though, this will bring forward the hard conversations about the appropriate size of government and the share of government spending in GDP. This share took a noticeable step up in the late 2010s and again since the pandemic. Bracket creep enabled this expansion in government payments without needing to raise taxes explicitly.

Plans to rein in NDIS spending should help avoid a further ramp-up in payments and the fiscal sustainability issues that would ensue. As we noted on Budget night, though, executing on these plans is crucial but far from assured.

This points to another lesson that fiscal policy can learn from monetary policy: that while a hard-and-fast policy rule is too rigid and too simplistic, there are benefits to some degree of automaticity, of counter-cyclical by design. A progressive tax system like Australia's embeds countercyclicality. When the economy is growing quickly, incomes rise. More of people's income is then taxed at their top marginal rate and more people get pushed into higher tax brackets. This raises the share of income going to tax. As long as the revenue windfall is not automatically recycled as higher government spending, this effect dampens demand automatically. Targeted welfare systems help on this front, too. For the record, Australia's system is widely regarded as more targeted than most developed countries' systems.

Indexation of tax brackets, like periodic tax cuts, reduces the drag from bracket creep but can lose that countercyclical feature depending on how it is implemented. For this reason, we have previously argued that fixed indexation at 2.5% – the mid-point of the RBA's inflation target – is in most cases preferable to CPI indexation. (This point also applies to calculation of capital gains tax, administered prices and some payments as well as income tax brackets.) That way, when the economy is strong and inflation is high, the tax system still leans against inflation somewhat. The central bank does not have to shoulder the burden of macroeconomic management alone.

The political nature of fiscal policy means there will always be some level of 'consistency problem'. But careful design, including automation of some settings, can help address this. That in turn means fiscal policy can be more usefully used as a macroeconomic management tool, without risking the credibility of its medium-term sustainability.

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles



#australia

Australia and NZ Weekly 25 May 2026

May 25 2026 • ⌚ 10 mins

By [Luci Ellis](#), [Matthew Hassan](#), [Elliot Clarke](#) & [9 more](#)



#australia

Australia and NZ Weekly 25 May 2026

May 22 2026 • ⌚ 10 mins

By [Luci Ellis](#), [Matthew Hassan](#), [Elliot Clarke](#) & [9 more](#)



#australia

Australia and NZ Weekly 18 May 2026

May 18 2026 • ⌚ 10 mins

By [Luci Ellis](#), [Matthew Hassan](#), [Elliot Clarke](#) & [9 more](#)

Browse topics

- #aud
- #australia
- #interestrates
- #nzd
- #usd
- #newzealand
- #rates
- #credit
- #yieldcurve
- #acgb
- #inflation
- #rba
- #semigovernment
- #basis
- #commodities
- #ustreasury
- #fx
- #rbnz
- #jpy
- #abs
- Show more tags

Disclaimer

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know

We respect your privacy: You can view the [New Zealand Privacy Policy](#) here, or the [Australian Group Privacy Statement](#) here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide [here](#) or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2) of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found [here](#). Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.